

Do U.S. Investors Still Need International Stocks?

A Practical Reassessment of Diversification, Currency Risk, and Portfolio Resilience

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Abstract

U.S. investors have had good reason to question the standard advice to diversify internationally. For much of the period following the Global Financial Crisis, U.S. stocks outperformed developed foreign markets, often by wide margins. This article asks whether international stocks still earn a place in a U.S. investor's portfolio. The issue is considered from a practical portfolio perspective, with particular attention to changing correlations, currency exposure, relative valuations, and the difficulty of maintaining an allocation that may lag for many years. The case for foreign stocks is weaker than it once appeared when national markets were less integrated. It has not disappeared, however. International stocks expose investors to a different mix of companies, currencies, valuations, and economic conditions. Their principal value may therefore be less about increasing expected return than about limiting the consequences of a long-term forecast that turns out to be wrong.

Keywords: international diversification; U.S. equities; currency risk; home bias; portfolio construction; asset allocation

1. Introduction

The case for international diversification is easy to state. If two markets do not move in lockstep, owning both can reduce portfolio risk without necessarily sacrificing return. That proposition follows directly from Markowitz (1952), and the early evidence from international markets was especially favorable. Solnik (1974) and Lessard (1976), for example, examined a world in which national markets were more distinct than they are now. At the time, adding foreign stocks offered diversification that was difficult to obtain within a single country.

The practical experience of U.S. investors since the Global Financial Crisis, however, has made the textbook recommendation less persuasive. U.S. equities, especially large growth and technology-oriented companies, have dominated much of the post-GFC period. Yet the reversal in 2025 is a useful reminder that leadership is not permanent; the MSCI EAFE Index returned 31.89 percent in U.S. dollars compared with 17.75 percent for the MSCI USA Index (MSCI, 2026a, 2026b). For practitioners, the difficulty is that both the duration and the magnitude of relative-

performance cycles can be large enough to test an investor's willingness to remain diversified.

For an investor, however, showing that a diversification benefit exists is only part of the problem. The more useful question is whether that benefit is large enough to justify the complications that come with foreign stocks: currency movements, periods of substantial tracking error, and the very real possibility of watching a U.S. benchmark outperform for years at a time.

That is the perspective taken here. A global market-capitalization weight is not treated as a required allocation, and recent U.S. performance is not assumed to be permanent. The narrower question is what foreign stocks can still contribute to a U.S. household portfolio. I argue that their best justification is not an expectation of superior returns. It is the protection they offer against concentrating too much of a portfolio in one market and one set of assumptions about the future.

2. What Has Changed in the Case for International Diversification?

The original case for international diversification was unusually attractive because national stock markets were segmented. Countries differed in monetary conditions, industry structure, regulation, capital flows, and economic cycles. As a result, an investor could combine markets that behaved quite differently. Solnik (1974) documented substantial diversification benefits from international equities, while Lessard (1976) found that country effects were often more important than industry effects.

Financial integration, however, has changed this environment. Multinational corporations sell into the same global markets, institutional investors move capital rapidly across borders, and major central banks often respond to common shocks. These forces have raised cross-country correlations. Longin and Solnik (2001) further showed that correlations tend to increase during periods of market stress—the very periods when investors most want diversification to work.

This is important, but it is easy to overstate what it means. Higher correlations have reduced the benefit of going abroad but have not reduced it to zero. Markets still respond differently to valuation changes, currency movements, commodity cycles, and local economic conditions. The modern case for international stocks is therefore a more modest one than the case made in the 1970s. Foreign stocks are one possible source of diversification, not a category that automatically deserves a large portfolio weight.

3. The Performance Problem: Recency Bias or Structural U.S. Advantage?

The most powerful argument against international equities is also the easiest to understand: U.S. stocks have performed exceptionally well for a long period, which is illustrated in Table 1. From 2012 through 2025, the MSCI USA Index outperformed the MSCI EAFE Index in ten of fourteen calendar years. The

international market nevertheless led in 2012, 2017, 2022, and 2025, and the 2025 reversal was substantial. The evidence therefore supports two conclusions at once: recent U.S. dominance was real, and regional leadership is not immutable (MSCI, 2026a, 2026b).

A long winning streak is not the same thing as a permanent advantage. Rolling five-year comparisons going back to the 1970s contain extended runs of both U.S. and international leadership (Capital Group, 2025). This is one reason the decision is so uncomfortable in practice. A region can lag long enough for an investor to conclude that diversification has stopped working, only for the relative performance pattern to change.

There are two obvious ways to get this wrong. One is to extrapolate U.S. outperformance indefinitely. The other is to assume that lower foreign valuations guarantee an imminent reversal. Neither proposition is especially satisfactory as a portfolio policy. A standing allocation to both markets avoids making the entire decision depend on the timing of either forecast.

Table 1. Calendar-Year Gross Returns: U.S. and Developed International Equities, 2012–2025

Year	MSCI USA	MSCI EAFE	Higher return
2012	16.13%	17.90%	International
2013	32.61%	23.29%	U.S.
2014	13.36%	-4.48%	U.S.
2015	1.32%	-0.39%	U.S.
2016	11.61%	1.51%	U.S.
2017	21.90%	25.62%	International
2018	-4.50%	-13.36%	U.S.
2019	31.64%	22.66%	U.S.
2020	21.37%	8.28%	U.S.
2021	26.97%	11.78%	U.S.
2022	-19.46%	-14.01%	International
2023	27.10%	18.85%	U.S.
2024	25.08%	4.35%	U.S.
2025	17.75%	31.89%	International

Source: MSCI (2026a, 2026b). Calendar-year index returns in U.S. dollars. MSCI USA covers large- and mid-cap U.S. equities; MSCI EAFE covers developed markets outside the United States and Canada. Past performance does not predict future results.

4. Currency Exposure: Risk, Diversifier, or Both?

For a U.S. investor, a foreign stock return is not simply the return earned in the company's home market. The dollar value of that investment also changes with exchange rates. A strengthening U.S. dollar reduces the dollar return on unhedged foreign assets, while a weakening dollar increases it. This can make international equities appear less predictable than domestic equities, particularly for households whose wages, taxes, mortgage payments, and retirement spending are denominated in dollars.

It is tempting to label this currency exposure as simply another source of uncompensated volatility. For a U.S. household, though, that is not the whole story. A weaker dollar increases the dollar value of unhedged foreign holdings, so foreign currency exposure can offset at least some of the risk of having wages, housing, retirement benefits, and most spending tied to the United States. Froot (1993) also shows why the hedging decision can look different over long horizons than it does over short ones.

The appropriate choice depends on what the investor is trying to hedge. A retiree who expects to spend almost entirely in dollars has a sensible reason to care about currency volatility. Yet a household whose income, home, Social Security, and financial assets are all dollar-based already has considerable exposure to the United States. In that setting, some unhedged foreign currency exposure is not obviously a defect.

5. Valuation and the Case for Owning What Has Lagged

Valuation provides another reason to maintain at least some international exposure after a long period of U.S. leadership. As of August 31, 2026, the MSCI reported a price-to-earnings ratio of 25.80 and a forward P/E of 20.06 for the MSCI USA Index, compared with 18.12 and 15.41, respectively, for the MSCI EAFE Index (MSCI, 2026a, 2026b). The gap does not prove that international stocks will outperform, but it does mean that U.S. investors are paying materially different prices for the earnings streams of the two regions.

Lower valuations abroad should not be interpreted mechanically. Some markets are cheaper because they have slower trend growth, weaker governance, greater political risk, less favorable sector composition, or lower expected profitability. Emerging markets add further risks related to capital controls, legal institutions, and state influence. A valuation discount can therefore be justified.

Even with those qualifications, the size of the valuation gap is relevant. It does not tell us when, or even whether, the gap will close. It does make an all-U.S.

decision more dependent on today's valuation premium being sustained. Rebalancing into a cheaper market after it has disappointed is rarely appealing at the time, which is one practical argument for deciding on an allocation before the next performance cycle is known.

6. Home Bias and the U.S. Investor's Existing Exposure

Home bias refers to the tendency of investors to hold more domestic securities than would be implied by the global opportunity set. Some home bias is rational. Domestic securities are familiar, easier to evaluate, and often simpler from a tax and administrative perspective. U.S. investors also receive indirect international exposure because many large U.S. corporations earn substantial revenue overseas.

Indirect business exposure, however, is not identical to owning foreign securities. A U.S.-listed multinational remains subject to U.S. valuations, U.S. market sentiment, U.S. corporate law, and the sector composition of U.S. indexes. International equities introduce different companies, industries, policy environments, and valuation regimes. The diversification benefit is therefore broader than the geographic source of corporate revenue.

Home bias also looks somewhat different when the portfolio is viewed together with the rest of the household balance sheet. Many U.S. investors earn their salaries in the United States, own U.S. real estate, expect Social Security benefits in dollars, and may have pensions tied to U.S. employment. The stock portfolio is only one part of that picture. A foreign equity allocation can therefore diversify exposures that do not appear on a brokerage statement.

7. A Practitioner Framework for Deciding How Much International Exposure to Hold

The evidence does not point to one international percentage that is appropriate for everyone. An investor who follows global market capitalization will hold considerably more foreign stock than the typical U.S. investor. At the other extreme, a U.S.-only investor accepts substantial home-country concentration. There is plenty of defensible territory between those positions.

Table 2 summarizes the major benefits and costs. The central trade-off is clear: international equities reduce country, valuation, currency, and sector concentration,

but they also introduce tracking error, currency fluctuations, and the possibility of long periods of relative underperformance.

Table 2. Practical Benefits and Costs of International Equity Exposure

Potential benefit	Practical cost or limitation
Reduces dependence on a single national equity market	Can lag U.S. benchmarks for many years, creating behavioral pressure to abandon the allocation
Adds exposure to different sector and valuation structures	Foreign markets may have weaker governance, lower profitability, or greater political risk
Provides participation if market leadership shifts away from the United States	Correlations with U.S. equities have risen and may spike during global crises
Unhedged holdings can benefit from periods of U.S. dollar weakness	Currency movements can add volatility for investors who spend primarily in U.S. dollars
Creates a systematic rebalancing opportunity across regions	Requires discipline; valuation gaps can persist much longer than expected

For an investor who wants a clear U.S. home bias but does not want to eliminate foreign stocks, 20 to 30 percent of the equity allocation is a reasonable starting range. This is not to suggest that 20 or 30 percent is an optimum produced by the data in this article, but rather a practical compromise. Vanguard (2024), for example, reports diversification benefits across a considerably wider range of international allocations. The important point is behavioral as well as statistical: an allocation that survives a decade of disappointing relative performance is more useful than a theoretically attractive allocation that is abandoned halfway through the cycle.

Table 3 translates the analysis into several common investor situations. These examples emphasize that the appropriate allocation depends as much on behavior and household circumstances as on capital-market assumptions.

Table 3. International Allocation as a Household Portfolio Decision

Investor situation	Practical implication
Long horizon, disciplined rebalancer	A meaningful strategic allocation is easier to defend because the investor can tolerate long cycles of relative underperformance.
Retiree spending almost entirely in U.S. dollars	International exposure can still diversify country risk, but a smaller allocation or partial currency hedging may be appropriate.
Investor heavily concentrated in U.S. salary, real estate, pension, and equities	Foreign equities may provide useful diversification at the household level even if the securities portfolio alone appears diversified.

Investor situation	Practical implication
Investor highly sensitive to tracking error versus the S&P 500	A modest allocation may be preferable to a theoretically larger allocation that the investor is unlikely to maintain.
Investor considering international stocks only because they appear cheap	Avoid treating valuation as a short-term timing signal; use a strategic allocation and rebalance rather than making an all-or-nothing bet.

8. Implementation Considerations

There is little reason for implementation to be complicated. A broad international index fund can provide developed and emerging market exposure without requiring a view on Japan, Europe, China, or any other individual market. Cost still matters, as do foreign tax withholding, the tax location of the fund, and the way the index is constructed. For most individual investors, however, these are implementation details rather than reasons to avoid international stocks altogether.

Currency hedging is a separate decision from whether to own international stocks. A fully hedged international fund attempts to isolate the foreign equity return from currency movements, while an unhedged fund allows currency gains and losses to flow through to the U.S. investor. Neither approach is universally superior. Hedging can reduce short-term currency volatility, but it adds cost and removes the potential diversification benefit of a weaker dollar. A blended approach can also be reasonable.

More weight perhaps should be placed on maintaining the policy than on choosing between, say, a 20 and a 25 percent foreign allocation. Periodic rebalancing trims whichever region has become the larger share of the portfolio and adds to the laggard. It does not guarantee a return advantage. Its more basic purpose is to keep a long-term diversification decision from quietly turning into a performance-chasing strategy.

9. Discussion: What Problem Are International Stocks Supposed to Solve?

Much of the debate is really a retrospective horse race: which market would have made the investor richer? That is an interesting performance question, but it is not quite the portfolio decision an investor faces. Once the decade is over, the winning market is obvious. The allocation had to be chosen before that information was available.

For that reason, it is perhaps more useful to think of international stocks as a hedge against forecast error. An all-U.S. portfolio implicitly makes several bets at once: that today's valuation premium will remain justified, that U.S. corporate leadership will persist, that the dollar will not create a serious headwind, and that owning U.S.-listed multinationals is an adequate substitute for owning foreign

companies. Any one of those assumptions may prove correct. The difficulty is knowing in advance which ones will.

This also argues against pretending that the largest possible international allocation is necessarily the best one. An investor who cannot tolerate watching foreign stocks lag the S&P 500 is unlikely to maintain a very large foreign allocation through a long U.S. bull market. In practice, durability of the policy deserves some weight alongside textbook diversification.

10. Limitations and Directions for Further Research

This paper is a practitioner-oriented synthesis rather than an attempt to estimate a single optimal international allocation. Historical relationships among returns, correlations, valuations, and currencies are regime-dependent and should not be treated as fixed parameters. Index-level analysis can also obscure important differences in sector weights, factor exposures, taxation, governance, and market accessibility across countries.

Further research could compare U.S.-only and globally diversified portfolios using rolling retirement horizons rather than only accumulation-period statistics. Of particular interest would be the effect of international exposure on sequence-of-returns risk, inflation-adjusted withdrawals, and the probability of portfolio depletion. A second extension would compare hedged and unhedged international allocations from the perspective of a U.S. retiree whose consumption is predominantly dollar-denominated.

11. Conclusion

International stocks still have a defensible role in U.S. portfolios, but the reason is more modest than the traditional textbook case sometimes suggests. Globalization has raised correlations, U.S. companies already generate substantial foreign revenue, and the United States possesses structural advantages that may continue to support its equity market. These facts weaken the argument that investors must hold foreign stocks in proportion to global market capitalization.

They do not, however, justify assuming that the United States will remain the best-performing market indefinitely. International equities provide exposure to different valuations, currencies, industries, and policy regimes. Their most important contribution is therefore not a guaranteed return premium but a reduction in dependence on a single set of favorable U.S. outcomes.

For U.S. investors who want to retain a home-country bias, roughly 20 to 30 percent of equities abroad is a defensible middle ground rather than a formula. A global-market investor can reasonably hold more; an investor with unusual tax, currency, or behavioral constraints can reasonably hold less. What is harder to defend is changing the allocation mainly because one region has just spent years outperforming the other. The practical case for international diversification rests on accepting that the next winner is not known when the portfolio is built.

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